

Here's the idea in a nutshell: The essential ingredient is that one member of the family must not be a U.S. citizen. This family member—preferably a young person—should have few appreciated assets at the time of expatriation. This means that the “exit tax” will be minimal.

The family member who is outside the U.S. system must then set up non-U.S. hard structures. These structures become the holder/controller of the family's non-U.S. assets. Sounds simple enough. Of course, it is not. How it works—or whether it would work for you—depends on the exact circumstances of the case. But here is an idealized example so you can see how it might work:

Let's go back to the fellow with the pawnshop. Let's imagine that the family owns a whole string of pawnshops and that it earns \$1 million per year in posttax profits each year. The pawnshop chain has a total net value of \$10 million. The couple is very well off. We will assume they are big spenders, using the entire \$1 million per year for living expenses.

But this family wants to protect the source of its wealth. And it wants to keep the business in the family. Normally (we will keep this simple by ignoring exemptions and other complications), the tax cost of passing the assets to the children would be \$5.5 million. To pay these taxes, the children would likely have to sell pawnshops or mortgage the operation.

To avoid this problem, the young man expatriates. He pays no exit tax because he has no appreciated assets. He then sets up an offshore structure—typically a trust, a corporation, a new will, and a bank/investment account. This structure buys the pawnshops from the parents at fair market value. He pays \$10 million, making yearly payments of \$1 million for 10 years (plus interest). The money still comes out of the business. It still goes to the parents. But the business, the profit-generating capital asset over time, is moved to a foreign entity, where it is free and clear of U.S. taxes.

Remember, we are not talking about the real property in the United States or even the corporate earnings of the business. Both are still subject to U.S. taxes, since they both are U.S.-based. The IRS has not lost a penny of revenue. Nor has your family gained a penny by avoiding taxes.

But the business itself, as a capital asset, may now be beyond the range of the U.S. taxman. It may be transferred—in the trust structure—to the next